

Expectations and implications for plan sponsors



Retirement plans have long been measured by access and participation: *offer the plan, provide a match, encourage enrollment, monitor investments.* Repeat annually.

In the current environment, that model is no longer sufficient

Today's workforce is navigating persistent financial pressure, rising complexity and evolving expectations about what financial support from an employer should look like. Participants want clarity, confidence and relevance, not just access.

Plan sponsors operate in a competitive labor market and an increasingly scrutinized fiduciary environment. Financial stress affects productivity. Perceived unpreparedness undermines engagement. Offering education is expected; effectiveness is what matters.

The modern retirement plan has evolved beyond a savings vehicle; it reflects an organization's commitment to its workforce.

Plan sponsors who move beyond access toward integrated financial wellness support are better positioned to improve confidence and strengthen long-term outcomes.

Understanding what matters most to participants in 2026 is essential to aligning plan strategy with the realities of today's workforce.

The 2026 participant reality

Financial pressure, shifting priorities and fragile confidence

Financial pressure is shaping participant behavior in measurable ways.

*Sixty-seven percent of U.S. workers report living paycheck to paycheck.*¹ Transaction-level data reinforces this reality: approximately **24% of households are spending more than 95% of their income on essential expenses**, leaving little room for savings or flexibility.²

The impact extends beyond budgets. Employees report spending an average of four hours per week worrying about personal finances while at work, and **71% say financial stress negatively affects their mental health.**¹

Retirement-specific anxiety is equally significant. **Fifty-four percent of employees fear they won't be able to live the life they want in retirement.**³ At the same time, retirement accounts are increasingly being used to manage short-term needs: approximately **37% of workers have taken a loan, early withdrawal or hardship withdrawal from a retirement plan.**⁴ Plan-level data shows that **13% of participants carried a loan balance** at the end of 2025.⁵



When financial stress is persistent, participant behavior can shift in ways that directly affect plan outcomes:

- Contributions may stall.
- Loans and withdrawals reduce long-term compounding.
- Engagement with investment and education resources may decline.
- Short-term needs can take priority over long-term preparation.

Over time, these patterns can influence account growth, retirement timing and workforce stability. Participant financial strain has direct implications for plan effectiveness and long-term readiness. Sponsors who address confidence and resilience early strengthen the foundation for sustainable retirement outcomes.

The confidence gap in *retirement readiness*



Employers and workers aren't aligned

Plan sponsors and participants view retirement preparedness differently, and that misalignment carries practical implications.

Seventy-eight percent of employers believe their workers are at least somewhat prepared for retirement. Yet **only 45% of employees say they feel prepared.**¹ This nearly 30-point gap signals a meaningful disconnect between sponsor perception and participant experience.

Retirement readiness is increasingly defined by clarity and income security. Financial independence remains a primary goal, but many workers question whether their current savings will sustain their desired lifestyle in retirement.³ Confidence depends not only on balances, but on understanding how those balances translate into future income.

This perception gap suggests that plan experience may not fully align with plan design.



When participant confidence is low, several risks can potentially emerge:

- Employees may delay retirement due to uncertainty, affecting workforce planning and succession.
- Deferral increases and proactive engagement may stall.
- Sponsors may overestimate the effectiveness of the plan if they rely solely on participation or contribution metrics.
- Plan reviews may focus on performance and contribution rates without fully assessing whether participants feel confident about their retirement readiness.

Evaluating retirement preparedness requires both quantitative metrics—**participation, deferral rates and balances**—and qualitative indicators such as confidence and comprehension.

Closing the confidence gap depends on **strengthening clarity, transparency and engagement**, all of which are foundational to long-term plan effectiveness.

What participants expect from their plans: *personalization, flexibility and journey-based support*

Meet participants where they are

Participants no longer evaluate retirement plans in isolation; they expect support aligned with their life stage and broader financial realities.

Eighty-eight percent of employees want personalized benefits, **85% seek more customized 401(k) investment options and 89% say benefits that evolve with their life stage would provide greater security.**³ Together, these findings suggest that uniform communication and static plan structures may no longer meet workforce needs.

Life-stage complexity is driving expectation shifts:

- **Early-career employees** may prioritize student loan repayment, emergency savings and budgeting guidance. At the same time, ensuring they're positioned to capture available employer matching contributions remains an important foundation for long-term progress.
- **Mid-career participants** often face competing obligations such as childcare, mortgages and caregiving. For those managing higher-interest debt, balancing repayment strategies alongside continued retirement contributions becomes a key consideration.
- **Near-retirement participants** require clarity around income sustainability, Social Security timing and distribution strategy. Understanding potential retirement income gaps and the steps needed to address them can meaningfully influence confidence and decision-making in the final years before retirement.

To address this complexity, **leading plan sponsors are working with consultants to implement "next best step"** frameworks that guide participants toward timely, personalized actions based on their individual financial situation. Many sponsors have the capability to do this internally but choose to partner externally to help manage fiduciary oversight and risk.

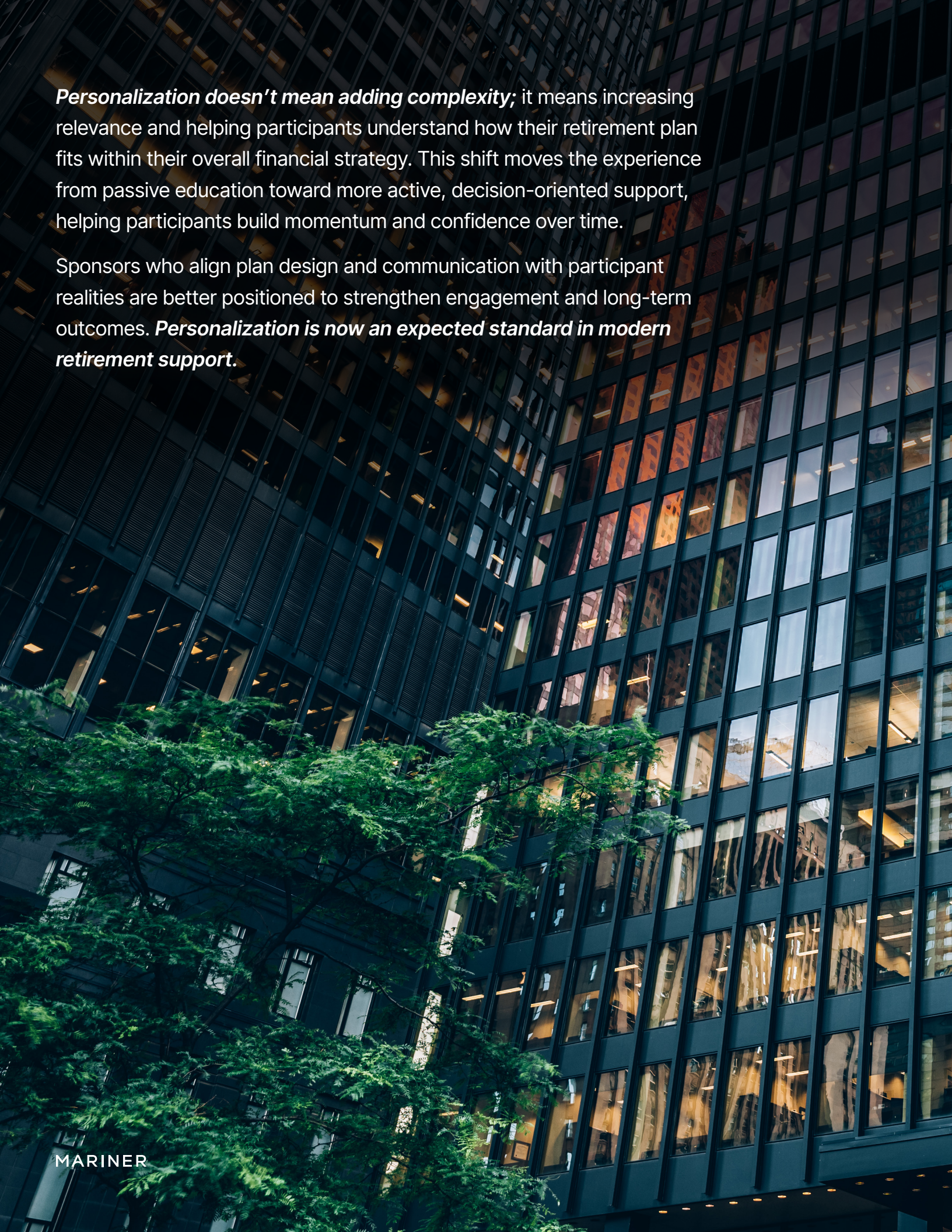
Even with these efforts, **many employees report not knowing where to begin**—what the next best financial decision may be, how to prioritize competing obligations or where to find unbiased guidance tailored to their situation.

This challenge reflects a broader reality: retirement planning exists within a larger financial ecosystem. Participants weigh savings decisions alongside debt, healthcare costs and short-term needs; when retirement planning feels disconnected from these realities, engagement can decline.

For sponsors, this shift carries practical implications:

- One-size-fits-all education and communication strategies may not resonate or fully address real barriers.
- Default investment structures alone may not provide sufficient clarity.
- Programs that ignore broader financial realities risk being perceived as transactional rather than supportive.





Personalization doesn't mean adding complexity; it means increasing relevance and helping participants understand how their retirement plan fits within their overall financial strategy. This shift moves the experience from passive education toward more active, decision-oriented support, helping participants build momentum and confidence over time.

Sponsors who align plan design and communication with participant realities are better positioned to strengthen engagement and long-term outcomes. *Personalization is now an expected standard in modern retirement support.*

Financial wellness as a foundational expectation



From differentiator to institutional standard

Financial wellness support has shifted from competitive advantage to baseline expectation.

Financial benefits increasingly influence retention and workforce stability. **Eighty-one percent of workers say they're more likely to stay with an employer that offers financial wellness benefits.¹ Similarly, 92% of employers believe protecting employees' retirement futures strengthens long-term relationships.³** Retirement and financial support have become central to how employees evaluate their employer.

This need for effective financial guidance is becoming more urgent. Approximately **\$124 trillion in wealth is projected to transfer through 2048**, with Generation X expected to inherit the largest share over the next decade.⁶ As more participants take on increasingly complex financial decisions, the role of education and guidance in supporting confident outcomes will only grow.

Yet even as the need for guidance grows, access alone doesn't guarantee engagement. **While 61% of workers without financial education say they would use it if offered, only 25% of those with access actively use those resources.¹** Offering a program doesn't ensure it resonates or influences behavior.

Many retirement plans now include some form of financial education or wellness programming. Differentiation lies in whether those efforts are integrated, relevant and measurable.

As participant engagement increasingly shapes retirement outcomes, sponsors must look beyond plan features and evaluate whether their support structures are meaningfully improving readiness. Check-the-box initiatives have limited impact; intentionally designed and integrated strategies strengthen engagement and long-term plan health.

For sponsors, the question is no longer whether financial education is offered, but whether it's effective.

Governance implications for sponsors and fiduciaries

From participant expectations to plan strategy

Evolving participant expectations require intentional governance.

Plan reviews have traditionally focused on participation, deferrals, investment performance and fees. While essential, these measures don't fully reflect whether participants understand their benefits or feel prepared for retirement. The documented confidence gap suggests that plan success should be evaluated more broadly.

Participation alone doesn't indicate comprehension. Low utilization of available education signals that sponsors should examine not only what resources exist, but how effectively they're delivered and whether they resonate.

Communication strategy influences outcomes. In a workforce facing sustained financial pressure, clarity and relevance support stronger engagement and decision-making.

Plan design should evolve with participant needs. Sponsors may periodically evaluate whether match structures, automatic features and retirement income education reflect workplace expectations.

Some organizations are also tracking participant confidence scores through brief surveys, to better understand how individuals experience the plan beyond traditional performance indicators.

Financial wellness integration must be deliberate. Education, tools and guidance are most effective when embedded within broader plan strategy.

Measuring engagement at an aggregate level, alongside participant sentiment, can provide a more complete view of effectiveness. Taking small, measured steps over time can lead to longer-term success for participants.

Responsible plan leadership extends beyond compliance and investment oversight to evaluating whether participants understand their options and make informed decisions.

This may include offering multiple levels of support—from digital tools for self-servers, financial coaches for those seeking deeper engagement and broad-based education for those comfortable in a group setting—**so individuals can access the type of help that best fits their needs.**

Sponsors who approach governance through this broader lens are better positioned to:

- Strengthen long-term retirement outcomes.
- Support workforce stability and succession planning.
- Reduce disengagement risk.
- Reinforce trust in the retirement program.

Effective governance anticipates change rather than reacting to it.



Raising the standard of plan leadership

Retirement plan strategy is entering a new phase

For years, success was measured by access, participation and investment oversight. Those measures remain important, but they're no longer sufficient on their own.

Today's environment demands something more deliberate: a clear understanding of how participants experience their plan, where confidence gaps exist and whether available resources genuinely support long-term readiness.

The evolution underway is not about adding more features. It's about raising the standard of stewardship. Evaluating the plan through the participant lens can help surface critical questions:

- Do participants understand how their savings can translate into retirement income?
- Where are the confidence gaps most visible?
- Do participants know their next best financial step, and are sponsors equipped to answer that for them?

Sponsors who treat financial wellness as an integrated part of plan design—rather than a supplemental offering—are better positioned to strengthen outcomes, support workforce stability and meet the expectations of a changing participant base. For many, gaining clarity on these questions begins with a deeper conversation with their retirement plan advisor about plan strategy and participant experience.

Sustained plan success will increasingly be defined by how deliberately sponsors align strategy with participant reality, and how effectively they translate that alignment into confidence, clarity and action.

For more information visit: mariner.com

¹PNC, [2025 Financial Wellness in the Workplace Report: What today's workers value most, across generations](#)

²Bank of America, [Bank of America Institute Economic Insights](#)

³Franklin Templeton, [Voice of the American Workplace survey](#)

⁴Transamerica Center for Retirement Studies, [Retirement in the USA: The Outlook of the Workforce](#)

⁵Vanguard, [How America Saves 2026](#)

⁶Cerulli, [Cerulli Edge—The Americas Asset and Wealth Management Edition, 2025](#)

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